

Alphabet Inc.

GOOGL NASDAQ

Buy	\$342.36 ▼ 0.46%	12M Price Target \$385.00	52-Week Range \$235.84 – \$408.61	Market Cap \$4.19T
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GOOGL: Orbital TPU Test and EU Fine Cloud Near-Term

WHAT HAPPENED

- Stock is basically flat but drifting on two overlapping stories: a €403M EU privacy fine (annoying but a rounding error for a \$4.2T company — the real worry is that Brussels keeps stacking these), and today's first orbital TPU test (Google literally putting AI chips in space for a moonshot compute-in-orbit project). Traders are de-risking ahead of the test — if it works, this is a huge narrative unlock; if it fails, it's a headline embarrassment but nothing structural.
- Options flow is loudly bullish — put/call ratio of 0.57 and a huge unusual call buy at the \$340 strike expiring this week tells you someone big is betting the stock holds or pops near-term.

WHY IT MATTERS

The EU fine isn't the story — the story is that Europe is now the primary global regulator of US tech, and every fine here sets precedent that the DOJ can cite in the ongoing Google search remedies case. That said, the Trump administration has been openly hostile to EU tech fines on American companies and has floated retaliatory tariffs on European goods — meaning GOOGL has an unusual political tailwind at home even as it takes hits abroad. The orbital TPU test matters because it signals Google is not just competing with NVIDIA on chips, they're leapfrogging into physical infrastructure nobody else has — that's the kind of moat that justifies the current multiple. Watch for: if the DOJ remedies ruling (expected late 2026) is lighter than feared, this stock re-rates hard to the upside because the overhang lifts.

POLICY & POLITICAL WATCH

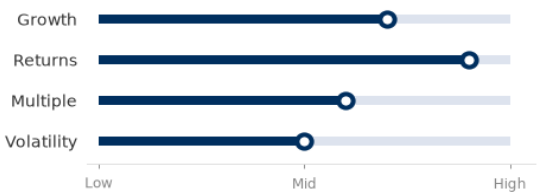
The big one is the DOJ antitrust remedies phase in the search monopoly case — the government wants Chrome divested and default-search deals unwound, but the current administration has signaled a lighter touch on Big Tech breakups than Biden's DOJ did. There's also a bipartisan AI infrastructure and export-control package moving through committee that would restrict chip exports to China further — that's a mixed bag for GOOGL (protects their US position but hurts Cloud growth in Asia). And keep an eye on the federal AI procurement push: agencies are signing multi-year cloud+AI deals, and Google Cloud has been winning a growing share versus AWS and Azure — every contract announcement is a real catalyst.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$342.36
12M Price Target	\$385.00
Upside / (Downside)	+12.5%
Market Cap	\$4.19T
FY2026E Revenue	\$425M
FY2027E Revenue	\$485M
FY2026E EPS	\$10.20
FY2027E EPS	\$12.15
Fwd P/E	33.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$348.00	\$325.00
6 Months	\$400.00	\$370.00	\$310.00
1 Year	\$430.00	\$385.00	\$295.00
2 Years	\$500.00	\$425.00	\$280.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare and Staples are catching a bid — classic defensive rotation, meaning investors are getting a little nervous about growth/tech at these levels and parking money in boring cash-flow names.

COOLING OFF: Utilities and Real Estate are getting crushed on the 5-day (-3% each) — that's a rate story, meaning the market is pricing in fewer Fed cuts than it was a month ago, which is a mild headwind for high-multiple tech too.

ROTATION WATCH: Money is quietly defensive today but AI/mega-cap tech isn't seeing outflows — this is a "pause, not a reversal" tape, which usually resolves higher into earnings season.

RELATED PLAY: If the orbital TPU test works, the second-order winners are data center power/cooling companies and satellite launch providers — the picks-and-shovels of the space-compute story nobody's pricing in yet.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Up 37% recently on ad-machine strength and their Muse app — proving the AI-ad thesis works, which is directly readable to GOOGL's YouTube and Search ads.
- MRVL (Marvell): Custom AI chip shipments starting and raising guidance — validates the custom-silicon-over-NVIDIA thesis that Google pioneered with TPU.

GOOGL CONTEXT: GOOGL is lagging META badly this year, which tells you the market still hasn't given Google full credit for its AI turnaround — that's actually the opportunity here. When the antitrust cloud lifts, this re-rates to catch up.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Not pounding the table but leaning firmly bullish; the setup is favorable and the multiple isn't demanding.

POSITION SIZE: 4-6% — big enough to matter, small enough that a DOJ shock doesn't ruin your year.

ENTRY POINTS: Add on pullbacks to \$325-335 which is where recent support sits; don't chase above \$360 until we get the antitrust ruling clarity.

TIME HORIZON: 12-24 months — the catalyst is DOJ remedies resolution + Cloud growth acceleration + TPU narrative maturing.

WHEN TO BAIL: If Cloud growth slips below 20%, or if DOJ mandates Chrome/Android divestiture, or if Search revenue actually turns negative year-over-year — any of those and I'm cutting.

HEDGING: Simplest hedge is buying a cheap put spread expiring after the DOJ ruling — costs you a small premium but caps your downside if the ruling goes badly. Alternatively, pair the long with a small short in a more expensive AI name to isolate the GOOGL-specific story.